for the constant inflation-adjusted spending strategy. All the strategies either keep real spending level (constant inflation-adjusted spending and Zolt's glide path rule) or increase it over time. The most aggressive spending increases are seen with the modified RMD rule, the fixed-percentage rule, and Guyton and Klinger's decision rules. The modified RMD rule is the only strategy that experienced a decline in real wealth by year thirty as spending levels rose dramatically. This strategy works most efficiently to spend down remaining assets.

Exhibit 6.18

Time Path of Real Spending and Wealth

Performance for All Strategies, 1982 Retiree

For 4% Initial Spending Rate, 50/50 Asset Allocation, Rolling 30-Year Retirements

Using SBBI Data, 1982–2011, S&P 500 and Intermediate-Term Government Bonds